



ASSOCIATION OF MUTUAL FUNDS IN INDIA

35/ BP/ 80/ 2019-20

Sept. 24, 2019

To,
All AMFI Members

Dear Members,

AMFI Best Practices Guidelines Circular No.80 / 2019-20

Providing Transaction Data Feeds under Direct Plan to SEBI Registered Portfolio Managers

SEBI vide letter no. IMD/DF/PB/VB/32460/2015 dated November 20, 2015 had clarified that the data feed (portfolio holdings, transactions, NAV, etc.) of investors who subscribe to Direct Plan on the advice of investment advisers (IAs) may be shared with such IAs, after obtaining explicit written consent of the investors. Accordingly, AMCs have been providing the Direct Plan transaction data with the SEBI registered IAs.

AMFI has been receiving queries from AMCs as to whether they may share the Direct Plan transaction data with the Portfolio Managers registered with SEBI under SEBI (Portfolio Managers) Regulations, 1993, on the same lines as IAs, as AMCs have been receiving requests from Portfolio Managers for providing data feeds pertaining to the transactions under Direct Plan made by the investors by / on the advice of the Portfolio Managers.

The matter was examined by AMFI's Operation Committee and based on the committee's recommendations, the Board of AMFI has approved the proposal to share the Direct Plan transaction data with the SEBI registered Portfolio Managers, on the same lines and principles as in respect of SEBI registered IAs as specified in AMFI Best Practice Circular No. 75 / 2018-19 dated October 19, 2018.

Accordingly, Members may share the share the Direct Plan transaction data with the SEBI registered Portfolio Managers on the same lines as per procedure explained below –

I. Consent of New Investor & Capturing Portfolio Manager's Registration no. in Direct Applications:

- a) Since investor's explicit consent needs to be obtained to share Direct Plan transaction feed to Portfolio Managers, in respect of new investors, a provision to obtain the consent may be incorporated in the application form/ itself, with suitable instructions in this regard mentioned in the application form/ In this regard, AMCs may provide a space/box in the application forms to provide / capture Portfolio Manager's Registration number (PMRN). This will help RTAs in capturing the PMRN upfront.
- b) The PMRN shall be captured at a transaction level for Direct Plan transactions, basis the PMRN written on the application form / mentioned in the online Feed file. This will enable the customer to have / transact through multiple Portfolio Managers / RIAs within the same folio.

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II. Consent Letter for tagging PMRN for existing investments in Direct Plan

- a) For tagging of PMRN in the existing investments in Direct Plan, a Portfolio Manager must provide the client's explicit written consent to the AMC / RTA to provide the transaction feeds to the Portfolio Manager.
- b) If an investor wishes to provide a single /common consent letter for convenience / to avoid duplication, the consent letter may be accepted at RTA Level. In such a case, the consent letter should explicitly mention the names of the Mutual Funds & Folios for which consent has been provided. A format of the consent letters is annexed hereto.

III. Change of PMRN / RIA Code in the Folio

If a Direct Plan investor desires to change her/his Portfolio Manager/RIA, the same process followed for change of ARN code shall be followed for change of PMRN or RIA Code in the RTA database.

IV. Half-yearly certification by AMCs

In the circular dated September 13, 2012, SEBI has mandated that no commission shall be paid under Direct plans. In the aforesaid letter dated November 20, 2015, SEBI has advised that AMCs should provide a declaration to AMFI on a half-yearly basis that they are not compensating the IAs directly or indirectly or through any associate / group companies for the advice rendered by the IAs to the investors to subscribe to Direct Plan. *The same principle/process must be followed in respect of subscriptions/transactions in Direct Plan made by investors through SEBI registered Portfolio Managers as well.*

Members are requested to confirm having noted the contents of this circular for compliance and to place the circular before their Trustees for information at their next meeting.

With best regards,

A handwritten signature in black ink, appearing to read 'N. S. Venkatesh', is written over a horizontal line.

N. S. Venkatesh
Chief Executive

Encl. as above

To :

_____ Mutual Fund

Consent to provide "Direct Plan" Transaction Data Feed to SEBI registered Portfolio Manager

I/We hereby give my/our consent to share/provide the transactions data feed /unit holdings in respect of my/our investments under **DIRECT PLAN** in ALL schemes * / the following scheme*s of _____ Mutual Fund to the below-named SEBI-Registered Portfolio Manager:

* Delete whichever is not applicable

FOLIO No.	SCHEME NAME

Name of the Portfolio Manager:	
SEBI Registration No.	
Address.....	
City.....	PIN.....
E-Mail Id.....	Mobile No.....

	Sole / 1 st Holder / Guardian	Second Holder	Third Holder
SIGNATURE			
NAME			
PAN			

Date:

Place:

To:
Computer Age Management Services Ltd.
Karvy Computershare Private Ltd.
Sundaram BNP Paribas Fund Services Ltd.

Sirs,

**Common Consent to RTA provide "Direct Plan" Transaction Data Feed
to SEBI registered Portfolio Manager**

I/We hereby give you my/our consent to share/provide the transactions data feed /unit holdings in respect of my/our investments under **DIRECT PLAN in ALL schemes** */the following scheme/s* of

_____ Mutual Fund to the below-named SEBI-Registered Portfolio Manager :

* Delete whichever is not applicable

NAME OF MUTUAL FUND	NAME OF SCHEME	FOLIO No.

Name of the Portfolio Manager:	
SEBI Registration No.	
Address.....	
City.....	PIN.....
E-Mail Id.	Mobile No.

	Sole / 1 st Holder / Guardian	Second Holder	Third Holder
SIGNATURE			
NAME			
PAN			

Date:

Place: